



United States
Attorney's Office
Middle District of Florida



Florida Man Sentenced To More Than 17 Years For Scheme To Steal More Than \$10.8 Million From Medicare

Friday, July 25, 2025

For Immediate Release

U.S. Attorney's Office, Middle District of Florida

Tampa, FL – District Judge Virginia M. Hernandez Covington has sentenced Lino Mallari Gutierrez, a/k/a “Joe Gutierrez,” (59, Palm City) to 17 years and 6 months in federal prison and ordered him to pay more than \$5.6 million in restitution for his role in a scheme to defraud Medicare. Gutierrez and his co-conspirators submitted over \$10.8 million in fraudulent claims for durable medical equipment (DME) that Medicare beneficiaries did not want or need and that were procured through the payment of kickbacks. Gutierrez was convicted at trial in April 2025, of eleven health care fraud-related offenses, including conspiracy, health care fraud, and paying kickbacks.

According to court documents and testimony, over a six-month period from October 2018 to April 2019, Gutierrez conspired with others to steal millions of dollars from Medicare by creating sham companies that shipped braces to Medicare beneficiaries —some of whom co-conspirators identified through telemarketing and others whose personal identifying information conspirators stole to submit fraudulent Medicare claims. Gutierrez and his conspirators paid kickbacks to other companies in exchange for signed doctors’ orders. These companies used overseas call centers to solicit patients and fraudulent telemedicine companies to procure fake prescriptions for braces for Medicare beneficiaries.

As part of the conspiracy, Gutierrez, a licensed broker, also filed false records with his employer and a private regulatory organization of brokers to conceal his involvement in the DME companies.

On April 9, 2019, multiple federal law enforcement agencies participated in a nationwide action referred to as “Operation Brace Yourself.” The operation targeted ongoing schemes, such as Gutierrez’s, in which companies were paying illegal bribes to secure signed physicians’ DME brace orders for use as support for fraudulent claims submitted to the federal programs. In the Middle District of Florida, the April 2019 operation included, among other efforts, the execution of search warrants at numerous DME storefronts and civil actions.

Before the operation, Gutierrez was in the process of establishing six more DME companies, which were thwarted by law enforcement action. To hide the profits from the government, Gutierrez and his conspirators laundered the Medicare proceeds.

"The sentencing underscores HHS-OIG's commitment to protecting patients and taxpayers from fraudulent schemes that exploit our health care system and are motivated by pure greed," stated Acting Special Agent in Charge Ryan Lynch with the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). "We will continue to work tirelessly with our law enforcement partners to investigate allegations that individuals and entities are profiting from deceiving and abusing federal health care programs."

"Mr. Gutierrez orchestrated a scheme to cost taxpayers over \$10 million. When federally funded healthcare systems are cheated, we ALL pay the price. The FBI is dedicated to working with our partners to investigate and hold accountable those who exploit the health care system at the expense of patients," said FBI Tampa Division Special Agent in Charge Matthew Fodor.

This case was investigated by the HHS-OIG and the FBI. It was prosecuted by Assistant United States Attorney Jennifer Peresie and Trial Attorney Margaret Mortimer of the Department of Justice Criminal Division's Fraud Section.

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